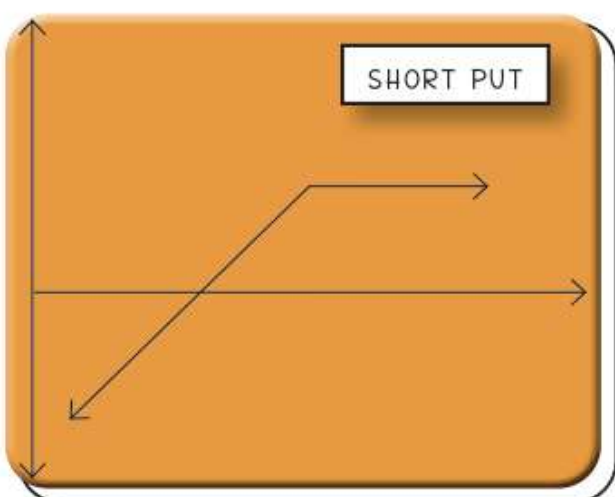
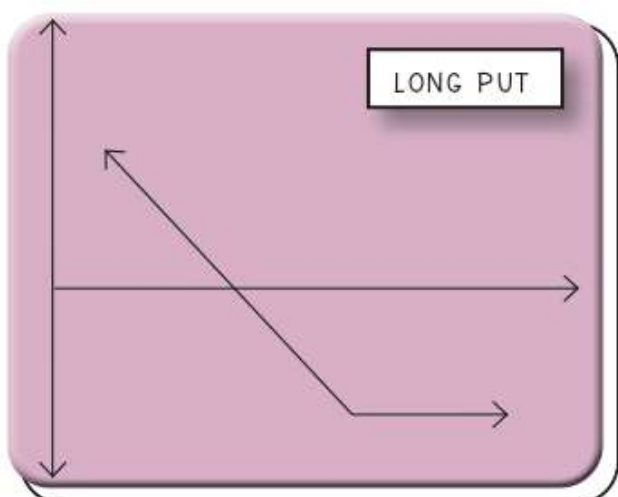
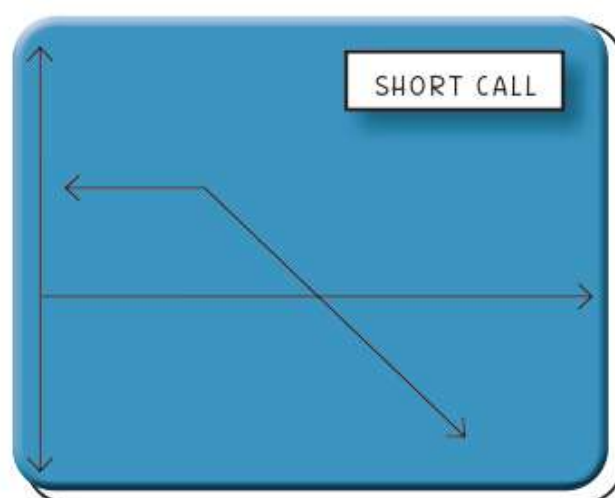
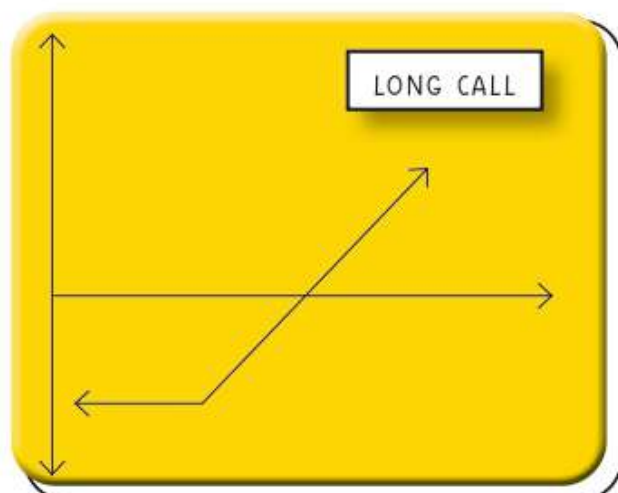


Pay off charts are graphical representation of the profit/loss at different price levels on the date of expiry. The X axis is used to denote various prices possible on the date of expiry and Y axis denotes the profit or loss incurred in the transaction. Such pay-off graphs help us visualise and understand the circumstances under which we will profit and circumstances under which we will incur losses. This helps us calculate the risk-reward ratio too.



Let us begin with simple payoff charts for simple call and put option from a buyer as well as a seller point of view. We will go into more detail or complex pay-off charts further when we will create payoff charts for different option strategies.